Steel Strips Wheels Ltd: Concall Tracker

Do the earnings calls point to a durable earning trigger, and has management been consistent about it? | Report quarter: Q2 FY27 (filed Q2-2027) | Screener ticker: SSWL | Builds on the Q1-2027 report

Reading basis: one new call deep-read in full (Q2 FY27, 26 Oct 2026, transcript taken from the company's investor-relations page because Screener hadn't linked it yet), set against the prior report's read of 14 calls from FY23 to Q1 FY27 and Screener's financial tables. Not investment advice.

1. Snapshot

What SSWL does: India's biggest maker of vehicle wheels. Steel wheels for cars, trucks, buses and tractors, alloy (aluminium) wheels for cars, and now aluminium knuckles (a light steering/suspension part). It sells to vehicle makers (OEMs, original equipment manufacturers), the replacement market and export buyers. It makes money on every wheel it ships, and the profit per wheel goes up as the mix moves toward alloy, truck, tractor and export wheels.

Metric	Value	Plain read
Market cap	₹8,496 cr	What the market values the whole company at. Nearly double the ~₹4,500 cr at the last report, so the stock has run hard.
Revenue, Q2 FY27	₹1,930 cr	Sales for the quarter, up 61% on a year ago. Includes ~₹140 cr of catch-up steel-price invoicing (see below). Without it, still up roughly half.
Operating profit (EBITDA), Q2 FY27	₹235 cr (₹237 cr incl. other income)	EBITDA = profit before interest, tax and depreciation. More than doubled year on year. A company record.
Operating margin	12.3%	About ₹12 of every ₹100 of sales is operating profit, up from 9.6% a year ago. It finally broke out of the 10 to 11% band it sat in for years.
Net profit, Q2 FY27	₹119 cr	Profit after everything, up about 3x. First half alone (₹190 cr) is almost what the whole of FY26 made (₹202 cr).
Interest, Q2 FY27	₹35 cr	Now under a fifth of operating profit after depreciation (EBIT ~₹194 cr). A year ago interest swallowed close to half.
Borrowings (Sep 2026)	₹914 cr	Debt went up from ₹828 cr in March as capex picked up. Still about half of net worth (~₹1,919 cr).
Stock P/E	28.0	Price is 28x the last year's profit. Up from ~20x, so the market has already paid for some of the improvement.

The long arc: sales went from ₹1,749 cr (FY21) to ₹5,183 cr (FY26) while net profit sat stuck around ₹200 cr from FY22 to FY26. The last two quarters are the first real break from that rut.

2. Concall coverage

Period	Call date	Transcript read?
Q4 FY22 → Q4 FY26 (~13 calls)	May 2022 to Jun 2026	Carried forward from the Q1-2027 report (backstory)
Q1 FY27 (prior boundary)	16 Jul 2026	Deep-read in the Q1-2027 report
Q2 FY27	**26 Oct 2026**	**Newly deep-read in full ★** (latest)

Only the new call was read in full this quarter. The history comes from the prior report. Screener listed the October call but hadn't attached the transcript, so it was pulled from sswlindia.com.

2b. Latest concall highlights: Q2 FY27 (call 26 Oct 2026)

- **Best quarter ever.** Revenue ₹1,930 cr (+61%), EBITDA ₹237 cr (+107%), net profit ₹119 cr (+209%). Plain read: profit grew far faster than sales, which is the margin lift investors were waiting for.
- **EBITDA per wheel ₹404**, against ₹242 a year ago and ₹314 last quarter. The MD says ₹404 "should be sustainable and perhaps we will exceed that", and agreed ₹450 to 500 is reachable "eventually". The FY27 guide was ₹310+. First half was ₹362, so it's already well past that.
- **Why:** more alloy wheels (now ~45% of revenue), a record truck-wheel quarter, exports up 69% to ₹187 cr, factory cost cuts, and price hikes OEMs agreed for non-steel costs. The ₹140 cr (Q2) / ₹183 cr (first half) of steel-price catch-up billing is a pass-through, he says, with no effect on EBITDA. Analysts pushed hard on this and he got irritated.
- **New ₹1,400 cr greenfield plant at Sambhajinagar (Aurangabad)**, approved subject to clearances, built over about five years: alloy and steel car wheels, off-road (OTR) wheels, and a new hot-stamping line for car body parts (a weight-saving process) built for an anchor customer in Maharashtra. To be funded by debt, internal cash and "strategic partners" he wouldn't name.
- **Tone: very bullish, a bit prickly.** No formal guidance upgrade ("you can construe from what we have delivered"). New export ambition of at least ₹1,500 cr in three years. This year's ₹600 cr export target "might go to ₹700 to 750 cr" if India and the US sign a trade deal.

2c. Business mix & capacity

- **Domestic vs exports:** exports ₹187 cr of ₹1,930 cr in Q2 (~10%), so ~90% domestic. Still mostly an Indian business. Exports are the swing factor, with European truck OEM approvals (MAN, Scania, Daimler) that management says start shipping in Q4 FY27.
- **Capacity use:** alloy plants at "near full utilization". Mehsana was debottlenecked by ~10% at no cost to ~5.4M wheels a year. Truck and tractor brownfield lines are "already sold out". There's basically no spare room, so growth beyond this depends on Bhuj (knuckles in Q4 FY27, alloy wheels in early April 2027), the Dappar tractor line, and later Sambhajinagar.

2d. Since our last report (builds on the Q1-2027 report, call 16 Jul 2026)

Prior verdicts: **Trigger MAYBE** · **Consistency MAYBE**

Prior read	What we said then	What the new call shows	Movement
Trigger	Per-wheel lift showed up in just one quarter (₹314). Not yet a trend.	Second straight jump, to ₹404. Record profit. Margin 12.3%.	Improving
Consistency	Delivers the hard stuff, misses its own forecasts.	First half beat both FY27 guides. But no formal upgrade, a new bigger export target, and a slightly pushed alloy start.	On-track
EBITDA/wheel above ₹310 in FY27	Guided ₹310+, "upside bias".	H1 ₹362, Q2 ₹404.	Confirmed
Bhuj trial production in Q4 FY27	Already slipped once.	Knuckles commercial production in Q4 FY27. Alloy wheel line now "early April" of FY28.	Slipping (slightly)
FY27 exports ~₹600 cr	Just turned up in June.	H1 ₹314 cr (+16%). "On track to exceed".	On-track
FY27 revenue ~₹6,500 cr, EBITDA ~₹650 cr	Guided at start of year.	H1 revenue ₹3,440 cr, EBITDA ₹403 cr. Running ahead.	Improving

Checkpoint results: the prior report had no checkpoint box. Promise-to-watch scores: EBITDA/wheel Delivered | Bhuj timeline Partly | Exports Partly (on track, not yet done).

Verdict change: Trigger **upgraded to YES**. Two quarters running, a per-wheel lift big enough to break the four-year profit rut. Consistency **unchanged at MAYBE**. Delivery is better this half, but the old habit of moving dates and raising new headline targets hasn't gone away.

3. Earning-trigger thesis ★

The story is unchanged. The news is that it's finally working. SSWL earns more on every wheel because the mix keeps moving to alloy wheels, truck and tractor wheels, exports and knuckles. On top of that, after decades of squeezed pricing, OEMs agreed to pay for non-steel cost increases. The MD put it bluntly: if customers want him to build a factory, they have to pay more on the existing business. That shows up as EBITDA per wheel going ₹262 (FY26) → ₹314 → ₹404 in two quarters. Next comes volume: Mehsana debottlenecking now, Bhuj knuckles and alloy around the turn of the fiscal year, European OEM truck-wheel exports from Q4, and Sambhajinagar plus hot stamping later. The risk he admitted himself: if truck and tractor demand cools, per-wheel profit falls.

Trigger	What management said	Evidence so far	Horizon	Strength	Change since last report
Rising EBITDA per wheel (pricing + mix)	₹404 "should be sustainable", ₹450 to 500 eventually	₹242 → ₹404 YoY. Margin 9.6% → 12.3%.	Now	Strong. Two quarters in a row, record results.	↑ big step up
Bhuj alloy wheels + knuckles	1.2M alloy wheels + 1.1M knuckles. Pre-sold. 80%+ use in FY28.	Construction "as planned". Knuckles Q4 FY27, alloy early Apr 2027.	FY28	Moderate. Credible, but revenue is still ahead.	unchanged (alloy date nudged)
Export recovery + Europe OEM truck wheels	Beat ₹600 cr this year. ₹1,500 cr in 3 years.	Q2 exports +69%. MAN/Scania/Daimler approvals after a 12-year chase.	Q4 FY27 → FY28	Moderate. Turned up properly, big target unproven.	↑ improving
Alloy penetration	64%+ share outside Maruti. Premium cars and EVs need alloys.	Alloy ~45% of Q2 revenue, up from ~35%.	Structural	Moderate→Strong	↑ share jumped
Sambhajinagar + hot stamping	₹1,400 cr over ~5 years. Hot stamping ~₹400 cr sales on ~₹170 cr spend, anchor customer.	Board approval only.	FY28 onward	Unproven	new
Truck / tractor up-cycle	"Highest ever CV sales" in October. Tractor share 43% → 45%.	CV up 28% in H1. Tractor volume +15%.	Cyclical	Moderate. Real, but cyclical.	↑ stronger

3b. Trigger check

Trigger type	Yes/ No	What was said (26 Oct 2026)
Debt cut	No	Not discussed. Borrowings rose to ₹914 cr, and the new plant will be partly debt-funded.
New business	Yes	Hot-stamping line for car body structural parts at Sambhajinagar, "for a specific customer", ~₹400 cr turnover target.
Margin up	Yes	"EBITDA margin improved to 12.3% from 9.6%... richer product mix... cost optimization... price revisions from customers."
New management	No	Same MD and CFO.
New capacity	Yes	Mehsana +10% via debottleneck (Oct 2026). Bhuj knuckles commercial production Q4 FY27, alloy wheels early April 2027. Dappar tractor line +0.5M sets.
Big orders	Yes	"A lot of OEM business we have won in steel wheels"... approvals for MAN, Scania, Daimler, starting Q4 FY27.
Turnaround	No	Already profitable. No loss-to-profit story.
Promoter buying	No	Not mentioned.

Single concrete driver: customers finally paying higher prices per wheel while the mix shifts to alloy and truck wheels, lifting profit per wheel from ₹242 to ₹404 in a year.

3c. Margin bridge

Operating margin 12.3% vs 9.6% a year ago. The drivers named: more alloy wheels, factory cost cuts and automation, more exports, and OEM price revisions for non-steel costs that the MD had chased for two years. The steel catch-up billing is described as pass-through with no EBITDA effect. Management treats the level as the new base, but concedes it would dip if truck and tractor volumes fall. **(lasting)**

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
FY23 → FY26	₹5,000 cr revenue, guided for FY24	Hit in FY26 (₹5,183 cr), about two years late	Missed, then delivered late
FY24 → FY26	Exports ₹600 to 720 cr, then a ₹1,000 cr headline	FY25 ₹561 cr. FY26 fell ~19% on US tariffs. ₹1,000 cr shelved.	Missed / dropped
From Q2 FY24	Knuckles: "₹250 cr potential"	₹11 cr in FY25. Now ramping, commercial plant due Q4 FY27.	Missed early, building
Q4 FY25 → Q2 FY27	EBITDA/wheel ₹270 "new norm", ₹300+ by FY27, ₹310+ guide	₹314 (Q1), ₹404 (Q2)	Delivered (beat)
Start of FY27	Revenue growth 20%+	H1 +44%	Delivered (beat)
Bhuj	Trial Oct 2025/Jan → Q4 FY27	Knuckles Q4 FY27 holds. Alloy line now early April 2027.	Partly (slipping)
Q1 → Q2 FY27	Exports turning, ~₹600 cr for FY27	Q2 +69%, H1 ₹314 cr	Too early (on track)

Narrative drift: The core story, mix plus pricing lifting profit per wheel, hasn't changed in three years, and this half it paid off clearly. What hasn't changed either is the pattern of adding a new, bigger headline once the old one is in reach. Exports are now ₹1,500 to 2,000 cr in three years, from someone whose last ₹1,000 cr target lasted two quarters. A ₹1,400 cr plant and a new hot-stamping business got announced in the same breath. The MD also declined to put a number on a raised FY27 guide. Tone went from confident to near-combative with analysts who asked whether the steel catch-up billing flattered the quarter.

5. Bottom line: two verdicts

Durable earning trigger? → YES

vs last quarter: upgraded

What moved it: a second straight quarter of sharply higher profit per wheel (₹314 → ₹404) and record profit. First-half net profit (₹190 cr) nearly matches all of FY26, which ends the four-year flat-profit run. The driver is concrete: OEM price increases plus a richer mix (alloy at ~45% of revenue, record trucks, exports +69%). More capacity is coming that's already sold out (Mehsana debottleneck now, Bhuj from Q4 FY27). Interest has dropped to under a fifth of EBIT. The caveats are real. Part of the lift rides a truck and tractor up-cycle, and the MD admits a slowdown would hit per-wheel profit. Debt is climbing again with a ₹1,400 cr plant ahead. But the trigger is now visibly in the numbers.

Management consistent? → MAYBE

vs last quarter: unchanged

What moved it: nothing enough to change the call. On the plus side, this half they beat their own FY27 per-wheel and growth guides and kept the export target on track. Against that, the Bhuj alloy line has edged out again to early April 2027. Management won't put a number on a raised guide. And a fresh, much bigger export target and a new plant arrived right as the old targets came in reach. Three years of targets rolled forward or reset lower is still the record to beat. One good half doesn't wipe that out.

6. Checkpoints for next quarter

- EBITDA per wheel stays around ₹400 in Q3 FY27 (no drop back toward ₹310)
- Bhuj knuckle line starts commercial production on its Q4 FY27 date
- European OEM truck-wheel exports start shipping and exports stay on pace for ₹600 cr+

Sources: Steel Strips Wheels Ltd Q2 FY27 earnings-call transcript (26 Oct 2026, sswlindia.com investor-relations page), the Q1-2027 concall-tracker report (14 calls FY23 to Q1 FY27), Screener.in financial snapshot for SSWL. AI-generated reading of public earnings-call material for tracking purposes. NOT investment advice. Do your own due diligence.